INDEPENDENT VALUATION · INDUSTRIALS · DIVERSIFIED MACHINERY

Meridian Industrials (illustrative) DEMO

A fair price for a good business, with room left

ADD

$294.20 target · 12m

Price (13 Oct 2026)	$262.00
12m total return	+13%
Fair value today	$275.08
Confidence	High

We rate **Meridian Industrials (illustrative) ADD** with a 12-month price target of **$294.20**, **+12%** from the $262.00 share price (+13% including the 0.9% dividend yield). The target starts from our blended fair value of $275.08 a share, rolls it forward a year at the 9.3% cost of equity, deducts $2.40 of dividends and gives the Street consensus a 30% weight as a deliberate hedge against model error.

Investment summary

Meridian Industrials (illustrative) generated **$85.96bn** of revenue in FY2025, +6% on the year, at a **28.5%** EBIT margin (high). Over the 5-year window revenue compounded at 8.2% a year. Consensus looks for revenue of $91.98bn in FY2026 (+7%) and EPS of $13.77.

At $262.00 the shares trade on **19.0x** NTM earnings against a 21.0x reference for industrial equipment (-9%) and on 12.8x EV/EBITDA against 14.0x (-9%). Three lenses feed the fair value, ranging from $230.27 to $308.77 (dispersion 13%).

The Street's mean 12-month target is $285.00 (+9%, 24 analysts). Our model-only target of $298.14 sits 5% above it; the published number blends the two so that neither a model error nor a consensus drift dominates.

The Reloj de inversión reads **Estanflación** (Stagflation) with weak conviction; Industrials has a probability-weighted tilt of **-1.4 pp** a year against the US market. The cycle is context for the call, not an input to the target (page 11).

A reverse DCF shows the price discounts year-one revenue growth of **8%** against our 7% base, so the market is asking for more than we model. That is the cleanest single measure of how demanding the price is.

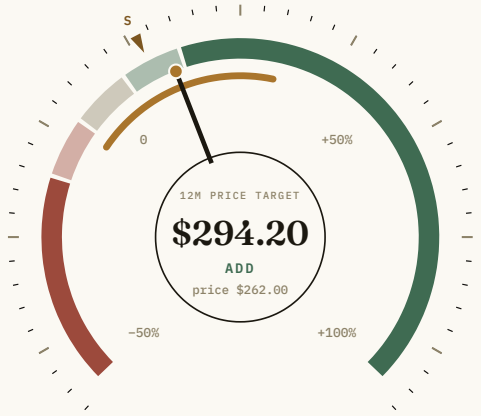
Key risks

- Estimate risk: consensus forecasts can be revised sharply, and the forward-multiple lenses move one-for-one with the earnings they are applied to.
- Multiple risk: target multiples are anchored on sector medians; a de-rating of the peer group lowers the target regardless of company performance.
- Single third-party data source: restatements, non-recurring items or classification differences can shift the output.

WHAT WOULD CHANGE OUR MIND

- A sustained miss on FY2026 revenue (consensus +7%) or on the EBIT margin path; each 100bps of margin is worth $8.45 a share in the DCF.
- A re-rating of the sector multiple the relative lenses are anchored on, in either direction.
- A move in the cost of equity from today's 9.3%: rates and the equity risk premium are the largest single swing factor in the DCF.
- A change in the Reloj's phase reading that turns the sector's historical tilt from headwind to tailwind, or the reverse.

EXHIBIT 1 12-MONTH EXPECTED RETURN AND TARGET



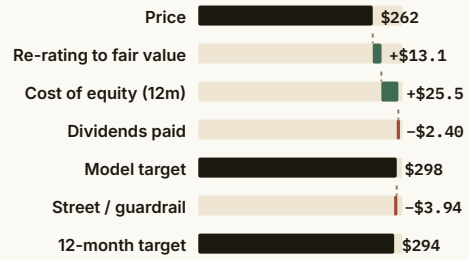
Bear–bull range from the lens ranges; S marks the Street mean.

EXHIBIT 2 KEY DATA

Market cap	$398.24bn
Enterprise value	$397.74bn
Net debt	($500mn)
Net debt / EBITDA	net cash
EV / EBITDA (LTM)	13.7x
P/E (LTM)	20.4x
FCF yield (LTM)	4.8%
Dividend yield	0.9%
Beta	1.12
Diluted shares	1,520mn

Source: DEMO (synthetic); SuperAnalyst.

EXHIBIT 3 FROM PRICE TO TARGET



Source: SuperAnalyst valuation model.

EXHIBIT 4 SUMMARY FINANCIALS AND VALUATION AT THE CURRENT PRICE

$ PER SHARE WHERE NOTED	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E
Revenue	**$81.09bn**	**$85.96bn**	**$91.98bn**	**$97.24bn**	**$101.92bn**	**$106.16bn**
growth	+8.0%	+6.0%	+7.0%	+5.7%	+4.8%	+4.2%
EBITDA	$26.92bn	$28.97bn	$31.17bn	$32.90bn	$34.42bn	$35.78bn
EBIT margin	28.0%	28.5%	28.7%	28.6%	28.6%	28.5%
EPS	**$11.76**	**$12.87**	**$13.77**	**$14.54**	**$15.22**	**$15.83**
FCFF/share	$11.67	$12.60	$13.65	$14.46	$15.14	$15.73
EV/EBITDA	14.8x	13.7x	12.8x	12.1x	11.6x	11.1x
P/E	22.3x	20.4x	19.0x	18.0x	17.2x	16.5x
FCF yield	4.5%	4.8%	5.2%	5.5%	5.8%	6.0%

Multiples struck at the current price/EV against each year's estimates. Forecast EPS approximates net income as (EBIT − LTM interest) × (1 − t).

INVESTMENT THESIS

Why this number, and what it rests on

+12% to a $294.20 target rests on earnings power and a balance sheet that removes financing risk.

1 · Earnings power and returns on capital

Consensus has revenue growing **+7%** in FY2026; our DCF fades growth from 7% in year one to the 2.5% terminal rate over 10 years, so no single year's step is extrapolated. The business earns **52.9%** on invested capital against a 9.1% cost of capital, a spread of 4,381bps that means growth creates value.

Margins have been stable (standard deviation 0.9% across the window), which supports how much of the current profitability the DCF can treat as permanent.

Return history. ROIC has run 43% → 46% → 48% → 51% → 53% over the window, so today's 53% is within the range the business has delivered before. The WACC we compare it with is 9.1%.

2 · Valuation

Our three lenses blend to **$275.08** today, 5% above the price; the heaviest, discounted cash flow (fcff), carries 39% of the weight at $230.27.

At our target the stock would trade on **21.4x** NTM earnings against 21.0x for the sector, i.e. a premium that we think is defensible given its growth and returns.

3 · Balance sheet and cash conversion

Meridian Industrials (illustrative) ends FY2025 with $12.50bn of cash against $12.00bn of debt, a **net cash** position of $500mn; EBIT covers interest 44.5x. Free cash flow (operating cash flow less capex) was $19.90bn, a 5.0% yield on the market cap, and capex ran at 0.9x depreciation.

Quality screens. The accounting screens give a Piotroski F-score of 2 out of 2, so we lean harder on cash flow than on reported profit. Page 8 has the detail.

What the price discounts, and where we differ from the Street

Solving the DCF backwards for the current price gives year-one revenue growth of **8%** (terminal growth 3.0%) against our 7% base. The market therefore already needs more than we forecast; delivery at our base case would not be enough to justify the price on the DCF alone.

Against a Street mean of $285.00 (+9%), our model-only target of $298.14 is 5% higher. We flag the gap rather than close it: where the model is right the stock has an information edge, where it is wrong the Street's inputs deserve more weight.

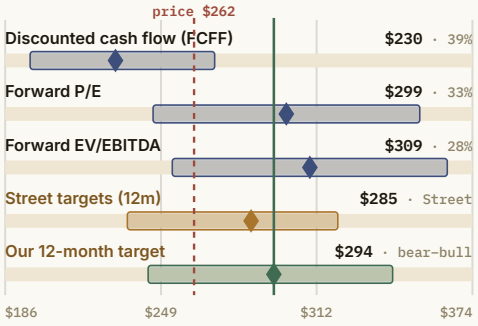
KEY TAKEAWAYS

- ADD: $294.20 target (+12%), $275.08 fair value, 9.3% cost of equity.
- Consensus revenue +7% in FY2026; EBIT margin 29% today, 28% in our terminal year.
- 19.0x NTM P/E against 21.0x for the sector; 21.4x at our target.
- Cycle: Stagflation (weak signal), sector tilt -1.4 pp a year.

The Reloj de inversión reads **Estanflación** (Stagflation) with weak conviction; Industrials has a probability-weighted tilt of **-1.4 pp** a year against the US market. Pages 11 and 12 set out the evidence behind that reading.

Priced like the sell-side prices it: a target multiple on forward earnings and EBITDA (peer-anchored, adjusted for growth and earnings durability), cross-checked against a 10-year FCFF DCF whose growth decays and whose margins mean-revert.

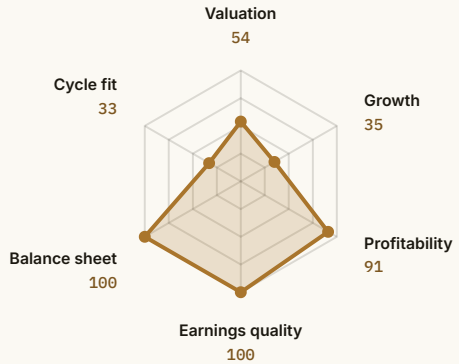
EXHIBIT 5 VALUE PER SHARE BY LENS



3 lenses blend to a fair value of **$275.08** (dispersion 13%). Street mean $285.00 over 24 analysts.

Source: SuperAnalyst valuation model.

EXHIBIT 6 FACTOR SCORECARD (0–100)



VALUATION 54	GROWTH 35
PROFITABILITY 91	EARNINGS QUALITY 100
BALANCE SHEET 100	CYCLE FIT 33

Heuristic scales, defined in the appendix.

EXHIBIT 7 MODEL VERSUS STREET

Street mean target	$285.00
Upside to Street mean	+9%
Street range	$235.00–320.00
Analysts	24
Our model-only target	$298.14
Divergence vs Street	+5%
Street weight in our target	30%
Published target	**$294.20**

Source: DEMO (synthetic); SuperAnalyst.

EXHIBIT 8 KEY RATIOS

ROIC / WACC	52.9% / 9.1%
ROE	51.5%
EBIT margin (latest)	28.5%
Net debt / EBITDA	net cash
FCF yield	5.0%
P/E NTM	19.0x
EV/EBITDA (LTM)	13.7x

Source: DEMO (synthetic); SuperAnalyst.

Source: SuperAnalyst valuation model; DEMO (synthetic); analyst consensus. Methodology and disclosures on page 15.

VALUATION · METHOD

How $275.08 of fair value becomes a $294.20 target

Several independent answers to "what is a share worth?", weighted by what fits the business, filtered by explicit guardrails.

Priced like the sell-side prices it: a target multiple on forward earnings and EBITDA (peer-anchored, adjusted for growth and earnings durability), cross-checked against a 10-year FCFF DCF whose growth decays and whose margins mean-revert. The profile for **DEMO** is **Standard (forward multiples + DCF)**; it prescribes four methods, of which three produced a usable value.

The lenses, one by one

Discounted cash flow (FCFF) ($230.27 a share, 39% of the weight) values ten years of free cash flow to the firm at a 9.10% WACC with 2.50% terminal growth; the terminal value is $188.15bn (54% of EV). Growth decays geometrically and margins mean-revert, so it is deliberately conservative where the multiples lenses are generous.

Forward P/E ($299.27 a share, 33% of the weight) applies a **21.7x** target multiple to NTM EPS of $13.77. The multiple starts from an anchor of 22.7x (60% peer median 23.8x (n=5) + 40% Industrial equipment reference 21.0x), is scaled ×0.96 for durable growth (8.8% durable growth vs 10.0% sector).

Forward EV/EBITDA ($308.77 a share, 28% of the weight) capitalises NTM EBITDA of $31.17bn at **15.0x**, then bridges to equity through net cash. The anchor is 15.7x; growth and durability adjustments follow the same logic as the P/E lens, which makes it a capital-structure-neutral cross-check.

What the dispersion tells us. The lenses span $230.27 to $308.77, a 1.3x spread (coefficient of variation 13%). Agreement among independent methods is the strongest evidence a valuation can offer; here it is broad.

Weights. The profile starts from dcf 35%, pe fwd 30%, ev ebitda fwd 25% and ddm 10%. After the guardrails and the lenses that could not be built are removed, the weights are renormalised over those that remain, which is why they differ from the profile's starting point.

Guardrails: what the model is not allowed to do

Every intervention is explicit. A lens outside 0.2×–5× the share price is excluded (or winsorised if it is the only one); a lens more than 2.2× away from the median of the others is down-weighted by 60%; the published target is confined to 0.4×–2.5× the price; and with fewer than two usable lenses, or a result forced by a guardrail, the company is published NOT RATED rather than given a number we cannot defend.

- Target anchored 30% to the Street consensus ($285.00, 24 analysts); model-only target $298.14.

From fair value to target

Fair value today $275.08 × (1 + 9.26% cost of equity) − $2.40 dividends = **$298.14** model target; the Street mean of $285.00 at 30% weight moves it to **$294.20**.

Confidence is graded **High**: 3 independent lenses agree on a valuation; lens dispersion is tight (CV 13%); model target is within 25% of the Street; 1 data-quality / earnings-quality flag(s).

Bear and bull values are the low and high ends of the lens ranges (the DCF's own bear and bull scenarios where it is present), rolled forward the same way. They bracket the model's uncertainty; they are not statistical confidence intervals.

EXHIBIT 9 THE LENSES, WEIGHTS AND RANGES

LENS	VALUE	RANGE	WEIGHT
Discounted cash flow (FCFF)	$230.27	$195.79–270.37	39%
Forward P/E	$299.27	$245.40–353.14	33%
Forward EV/EBITDA	$308.77	$253.21–364.32	28%
Fair value today	**$275.08**		**100%**

*Source: SuperAnalyst valuation model. * = down-weighted by the guardrail.*

EXHIBIT 10 WEIGHT BY FAMILY OF LENS



Cash flow 39% Multiples 61%

Source: SuperAnalyst valuation model.

EXHIBIT 11 FROM FAIR VALUE TO PUBLISHED TARGET

Fair value today	$275.08
× (1 + 9.26% cost of equity)	$300.54
− dividends	−$2.40
Model target	**$298.14**
Street mean (30% weight)	$285.00
Published target	**$294.20**

Source: SuperAnalyst valuation model.

EXHIBIT 12 DISCOUNTED CASH FLOW (FCFF): INPUTS

WACC	9.10%
Terminal growth	2.50%
PV of explicit FCFF	$161.65bn
PV of terminal value	$188.15bn (54% of EV)
Enterprise value	$349.81bn
+ Net cash (less minorities)	$0.20bn
Equity value	$350.01bn
Value per share	$230.27

Source: SuperAnalyst valuation model.

EXHIBIT 13 FORWARD P/E: INPUTS

Consensus EPS	
Forward EPS	
Anchor P/E	22.7x — 60% peer median 23.8x (n=5) + 40% Industrial
Growth adjustment	×0.96 (8.8% dural
Earnings-durability factor	
Leverage adjustment	
Target P/E	
Value per share	

Source: SuperAnalyst valuation model.

EXHIBIT 14 FORWARD EV/EBITDA: INPUTS

NTM EBITDA (from consensus earnings)	
Anchor EV/EBITDA	15.7x — 60% peer median 16.8x (n=5) + 40% Industrial
Growth adjustment	
Earnings-durability factor	
Target EV/EBITDA	
Enterprise value	
+ Net cash	
Value per share	

Source: SuperAnalyst valuation model.

Source: SuperAnalyst valuation model; DEMO (synthetic); analyst consensus. Methodology and disclosures on page 15.

VALUATION · RELATIVE

What the multiples say, and what we adjust before using them

Sector and peer anchors, scaled for growth, leverage and the durability of the earnings they are applied to.

On the numbers the market pays today, Meridian Industrials (illustrative) looks in line on earnings (19.0x NTM against 21.0x for industrial equipment, -9%) and in line on enterprise value (12.8x EV/EBITDA against 14.0x).

Where the anchor comes from

The relative lenses are anchored on a curated set of 5 peers: 21.0x P/E, 14.0x EV/EBITDA, 2.3x EV/Sales and 5.0x P/B, with a sector growth rate of 10%. A sector median is a starting point, not a verdict: each lens then adjusts it for the company in front of us.

What we adjust, and why

Growth. The anchor is scaled ×0.96 (8.8% durable growth vs 10.0% sector) — the market pays for growth that lasts, so we use durable earnings growth of 8.8% (historical revenue CAGR (capped at 15%)) rather than a one-year consensus jump.

The result is a target P/E of **21.7x** applied to NTM EPS, worth $299.27 a share.

Cross-checks

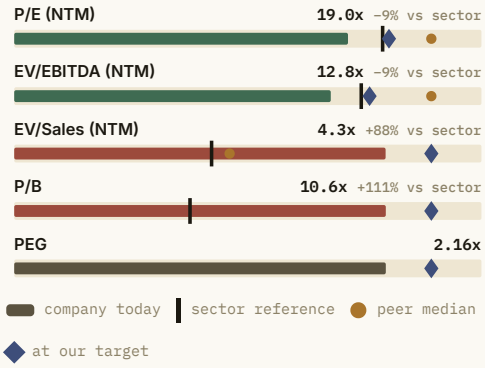
EV/Sales is 4.3x against 2.3x for the sector, price-to-book is 10.6x against 5.0x, free-cash-flow yield is 5.0%, dividend yield is 0.9% and the PEG ratio is 2.16x. These do not enter the target unless a lens is built on them, but they show whether the headline multiple is flattered by one line of the accounts.

Growth-adjusted view. The PEG ratio of 2.16x divides the P/E by durable growth; below 1 the market is paying less than a point of multiple per point of growth. Treat it with caution when growth is a cyclical rebound rather than a trend.

P/E versus EV/EBITDA. The two multiples disagree when capital structures differ. With net cash, enterprise value is lower than market capitalisation, so EV/EBITDA flatters the shares slightly relative to P/E. We use both for that reason.

Relative valuation is only as good as the earnings it is applied to. When forward EPS is far above trailing, a low P/E can be a warning sign rather than a bargain: it is the market declining to capitalise a peak. That is why the next two pages test the earnings base before the cash-flow model is built.

EXHIBIT 15 VALUATION MULTIPLES AGAINST THE SECTOR



Source: DEMO (synthetic); sector reference table; SuperAnalyst.

EXHIBIT 16 MULTIPLES TODAY, SECTOR REFERENCE AND AT OUR TARGET

MULTIPLE	TODAY	SECTOR	PREM.	AT TARGET
P/E (NTM)	19.0x	21.0x	-9%	21.4x
EV/EBITDA (NTM)	12.8x	14.0x	-9%	14.3x
EV/Sales (NTM)	4.3x	2.3x	+88%	4.9x
P/B	10.6x	5.0x	+111%	11.9x
FCF yield (LTM)	5.0%	–	–	4.5%
Dividend yield	0.9%	–	–	0.8%
PEG	2.16x	–	–	2.42x

Source: SuperAnalyst valuation model.

EXHIBIT 17 FROM SECTOR ANCHOR TO TARGET MULTIPLE

	P/E	EV/EBITDA
Sector / peer anchor	22.7x	15.7x
× growth	×0.96	×0.96
× earnings durability	×1.00	×1.00
× leverage	×1.00	–
= Target multiple	**21.7x**	**15.0x**
Value per share	$299.27	$308.77

Source: SuperAnalyst valuation model.

EXHIBIT 18 TRADING COMPARABLES

PEER	P/E	EV/EBITDA	EV/SALES	P/B
PEERA	23.9x	17.7x	2.6x	–
PEERB	23.7x	16.7x	2.5x	–
PEERC	29.4x	17.1x	2.7x	–
PEERD	21.0x	16.7x	2.4x	–
PEERE	23.8x	16.8x	2.5x	–
Median	**23.8x**	**16.8x**	**2.5x**	**–**

Source: DEMO (synthetic); SuperAnalyst.

EXHIBIT 19 MULTIPLES AT THE CURRENT PRICE, BY FISCAL YEAR

$ PER SHARE WHERE NOTED	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E
EPS	$11.76	$12.87	$13.77	$14.54	$15.22	$15.83
FCFF/share	$11.67	$12.60	$13.65	$14.46	$15.14	$15.73
EV/EBITDA	14.8x	13.7x	12.8x	12.1x	11.6x	11.1x
P/E	22.3x	20.4x	19.0x	18.0x	17.2x	16.5x
FCF yield	4.5%	4.8%	5.2%	5.5%	5.8%	6.0%

Source: SuperAnalyst valuation model; DEMO (synthetic); analyst consensus. Methodology and disclosures on page 15.

VALUATION · SCENARIOS AND SENSITIVITY

Range of outcomes, and the levers that move them

Bear, base and bull cases built from the lens ranges and the DCF scenarios, with the DCF's two most important dials.

We weight three outcomes 25 / 50 / 25: a **bear** case of $243.41, a **base** case of $294.20 and a **bull** case of $342.17. The probability-weighted target is **$293.49** (+13% including dividends), close to the base case because the range is roughly symmetric.

What each case needs to be true

Bear. The DCF's bear scenario values the shares at $195.79: slower revenue, margins that revert faster toward the through-cycle level and a higher reinvestment burden. Even then the downside to $243.41 is -7% from today's price, i.e. the market price already sits above our bear case, so the stock offers no margin of safety in a downturn.

Base. Consensus for the near years, growth fading geometrically to 2.5%, margins mean-reverting from 29% toward 28%, and a 9.1% WACC: $230.27 a share on the cash-flow lens, $275.08 once the multiples lenses are blended.

Bull. The DCF's bull scenario reaches $270.37: growth that fades more slowly and margins that hold closer to today's level. Our bull target of $342.17 (+31%) is the upper end of the lens ranges rolled forward.

How sensitive is the DCF?

Across a ±150bps range of WACC and ±100bps of terminal growth the DCF value per share runs from $179.81 to $338.30 (Exhibit 22). The cost of capital matters more than terminal growth: each 75bps of WACC moves the value by about $25.80 (11%), against $8.79 for 50bps of terminal growth.

Risk and reward

Measured from $262.00, the bull case adds $80.17 (+31%) and the bear case costs $18.59 (-7%): an upside-to-downside ratio of **4.3x**. Asymmetry of that kind is what a rating should be built on, provided the bear case is credible.

Stress tests

Shocking one input at a time to the DCF, the most damaging are **WACC +100bps** (-13%) and EBIT margin −300bps (-11%); the most helpful are WACC −100bps (+17%) and EBIT margin +300bps (+11%) (Exhibit 24). None of the single shocks closes the gap to the blended fair value on its own, which is useful information about where the disagreement comes from.

How sensitive is the multiple-based value?

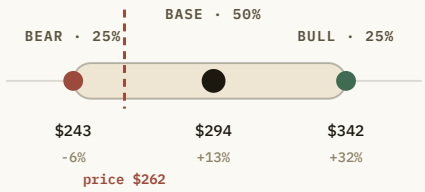
Forward earnings and the target multiple are the inputs that matter most. A 10% error in NTM EPS moves the forward P/E value by about $29.88 a share, and a 10% change in the target multiple by $29.88; across the grid (Exhibit 23) the value runs from $191.23 to $430.26.

What each lever is worth

- **Cost of capital:** every 75bps of WACC moves fair value by ≈$25.80/share (11%). Rate path and the equity risk premium are the single biggest swing factor.
- **Terminal growth:** 50bps of perpetuity growth is worth ≈$8.79/share — the market's read on the company's long-run competitive position.
- **Operating margin:** each 100bps of EBIT margin across the forecast is worth ≈$8.45/share — watch pricing power, mix and cost discipline in quarterly prints.
- **Top-line delivery:** our base assumes 7.0% year-one growth fading to 2.5%; sustained beats/misses versus that glide path are the cleanest re-rating trigger either way.

The sensitivity table is shaded against the current price (green above, terracotta below): when every cell is one colour the DCF has a clear view; when the base case sits near the edge of a colour change, the conclusion depends on the discount rate.

EXHIBIT 20 BEAR, BASE AND BULL TARGET



Source: SuperAnalyst valuation model.

EXHIBIT 21 SCENARIO TABLE

CASE	PROB.	TARGET	RETURN	DCF
Bear	25%	$243.41	-6%	$195.79
Base	50%	$294.20	+13%	$230.27
Bull	25%	$342.17	+32%	$270.37

Weighting bear / base / bull 25 / 50 / 25 gives **$293.49** (+13% incl. dividends). Bear and bull come from the lens ranges (DCF bear/bull cases in the last column).

Source: SuperAnalyst valuation model.

EXHIBIT 22 DCF VALUE PER SHARE: WACC × TERMINAL GROWTH

WACC \ G	1.5%	2.0%	2.5%	3.0%	3.5%
7.6%	$268	$281	$296	$315	$338
8.4%	$239	$248	$259	$272	$288
9.1%	$215	$222	$230	$240	$251
9.9%	$196	$201	$207	$214	$223
10.6%	$180	$184	$189	$194	$200

Shaded against the current price: green above, terracotta below; outlined = base case.

EXHIBIT 23 FORWARD P/E VALUE PER SHARE: TARGET MULTIPLE × NTM EPS

MULTIPLE \ EPS	-20%	-10%	BASE	+10%	+20%
17.4x	$191	$215	$239	$263	$287
19.5x	$215	$242	$269	$296	$323
21.7x	$239	$269	$299	$329	$359
23.9x	$263	$296	$329	$362	$394
26.0x	$287	$323	$359	$394	$430

Shaded against the current price; outlined = base case.

EXHIBIT 24 STRESS TESTS ON THE DCF

SHOCK TO THE DCF	PER SHARE	VS BASE
WACC +100bps	$200.77	-13%
WACC −100bps	$270.28	+17%
Terminal growth −50bps	$222.14	-4%
Terminal growth +50bps	$239.71	+4%
EBIT margin −300bps	$204.92	-11%
EBIT margin +300bps	$255.62	+11%
Revenue growth −20% (relative)	$216.89	-6%
Revenue growth +20% (relative)	$244.48	+6%
Capex +5pts of revenue	$206.50	-10%

Source: SuperAnalyst valuation model.

Source: SuperAnalyst valuation model; DEMO (synthetic); analyst consensus. Methodology and disclosures on page 15.

FINANCIAL ANALYSIS · GROWTH AND PROFITABILITY

Growth, margins and earnings

Revenue 8.2% a year over 5 years; the EBIT margin is the swing factor.

Revenue went from $58.00bn in FY2020 to **$85.96bn** in FY2025, a compound rate of **8.2%** a year. Growth was steady (FY2022 +9%, FY2023 +7%, FY2024 +8%, FY2025 +6%), which makes the forward path easier to underwrite.

Top line

Consensus looks for revenue of **$91.98bn** in FY2026 (+7%). Our DCF takes consensus for the first two years and then lets growth decay geometrically toward the 2.5% terminal rate, so revenue reaches $127.25bn by year 10 (4.0% a year over the period). Large numbers compress growth and competition erodes it; we do not extrapolate any single year.

Margins

The EBIT margin was **28.5%** in FY2025, high by sector standards, within a FY2020–FY2025 range of 26% (FY2020) to 29% (FY2025). The DCF takes the margin from 29% to a peak of 29% and a terminal 28%.

The margin is the most valuable single input after the discount rate: each 100bps of EBIT margin across the forecast is worth about **$8.45** a share in the DCF.

Earnings per share

Diluted EPS was $12.87 in FY2025 (FY2022 $9.53, FY2023 $10.54, FY2024 $11.76 before). Consensus has **$13.77** for FY2026, which blends to **$13.77** on a next-twelve-months basis.

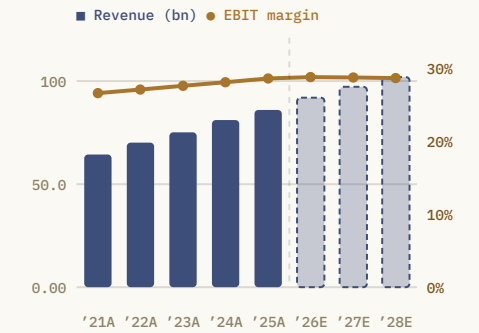
Operating leverage. Last year each extra $1 of revenue brought $0.37 of EBIT (above the 29% average margin), a sign of strong operating leverage as fixed costs were absorbed.

The table below the text sets out the income statement; forecast columns (shaded) are consensus where it exists and our DCF base case otherwise. Any line a provider does not report is shown as a dash rather than estimated.

WHAT TO WATCH

- FY2026 revenue against the $91.98bn consensus path.
- The EBIT margin against the 28% terminal level our DCF assumes.
- Gross-margin direction: it separates pricing power from volume.

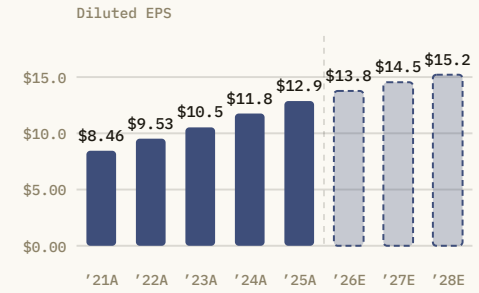
EXHIBIT 25 REVENUE AND EBIT MARGIN



Revenue compounds **+6%** a year to FY2028E on the base case; EBIT margin 29% → 29%.

Source: DEMO (synthetic); SuperAnalyst.

EXHIBIT 26 DILUTED EPS, ACTUAL AND CONSENSUS



Consensus EPS $13.77 for FY2026; NTM P/E **19.0x**.

Source: DEMO (synthetic); SuperAnalyst.

EXHIBIT 27 GROWTH AND MARGIN BY FISCAL YEAR

	FY2021	FY2022	FY2023	FY2024	FY2025
Revenue growth	+11%	+9%	+7%	+8%	+6%
Gross margin	n/a	n/a	n/a	n/a	n/a
EBIT margin	26%	27%	28%	28%	29%
Net margin	21%	21%	22%	22%	23%

Source: DEMO (synthetic); SuperAnalyst.

EXHIBIT 28 INCOME STATEMENT

$BN	FY2021A	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E
Revenue	**64.38**	**70.17**	**75.09**	**81.09**	**85.96**	**91.98**	**97.24**	**101.9**
growth	11.0%	9.0%	7.0%	8.0%	6.0%	7.0%	5.7%	4.8%
Gross profit	–	–	–	–	–	–	–	–
gross margin	–	–	–	–	–	–	–	–
EBITDA	20.41	22.60	24.55	26.92	28.97	31.17	32.90	34.42
EBITDA margin	31.7%	32.2%	32.7%	33.2%	33.7%	33.9%	33.8%	33.8%
EBIT	**17.06**	**18.95**	**20.65**	**22.71**	**24.50**	**26.39**	**27.84**	**29.12**
EBIT margin	26.5%	27.0%	27.5%	28.0%	28.5%	28.7%	28.6%	28.6%
Net income	13.54	15.06	16.44	18.11	19.56	20.93	22.10	23.14
net margin	21.0%	21.5%	21.9%	22.3%	22.8%	22.8%	22.7%	22.7%
Diluted EPS	**$8.46**	**$9.53**	**$10.54**	**$11.76**	**$12.87**	**$13.77**	**$14.54**	**$15.22**

Forecast columns: revenue, EBIT and capex are the DCF base case; net income and EPS use consensus where it covers the year; free cash flow in forecast years is unlevered (FCFF). Dashes mean the provider does not report the line.

Source: SuperAnalyst valuation model; DEMO (synthetic); analyst consensus. Methodology and disclosures on page 15.

FINANCIAL ANALYSIS · CASH FLOW AND BALANCE SHEET

Cash generation, capital intensity and the balance sheet

Free cash flow of $19.90bn; net cash; ROIC 53% vs WACC 9.1%.

Operating cash flow of $24.03bn funded $4.13bn of capex in FY2025, leaving free cash flow of **$19.90bn** — 1.2x net income and a 5.0% yield on the market capitalisation.

Capital intensity

Capex ran at **5%** of sales (from 5% in FY2020), 0.92x depreciation and amortisation. Near 1x the business is broadly maintaining its asset base; our DCF converges capex to 1.10x D&A by the terminal year so that growth is funded without permanent over- or under-investment.

Cash conversion

Operating cash flow was 1.23x net income, comfortably above earnings, so reported profit is backed by cash. On free cash flow the shares yield 5.0%, and the 0.9% dividend is well covered by it.

Balance sheet

Meridian Industrials (illustrative) holds **$12.50bn** of cash and short-term investments against $12.00bn of debt: a net cash position of $500mn. EBIT covers interest 44.5x, which our credit screen maps to AAA; Shareholders' equity is $38.00bn, 10.5x book at the current price.

Returns on capital

ROIC is **52.9%** against a 9.1% WACC, a spread of +4,381bps; ROE is 51.5%. Over the window ROIC moved 43% → 46% → 48% → 51% → 53%, so today's return is not a straight line either.

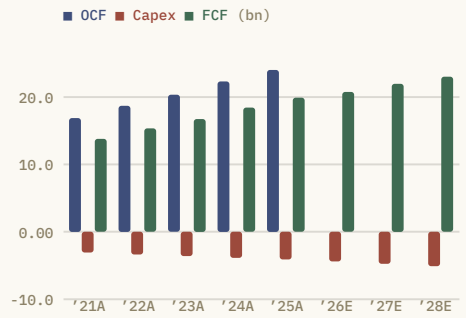
Capital return. The dividend is $2.40 a share (0.9% yield). Buybacks are not captured in the data we use, so total shareholder yield may be higher.

Statements are shown on page 14; forecast cash flow is unlevered (free cash flow to the firm) so that it can be discounted at the WACC without double-counting the interest tax shield.

KEY TAKEAWAYS

- Free cash flow $19.90bn; 1.2x net income.
- Net cash balance sheet.
- ROIC 53% against a 9.1% WACC.

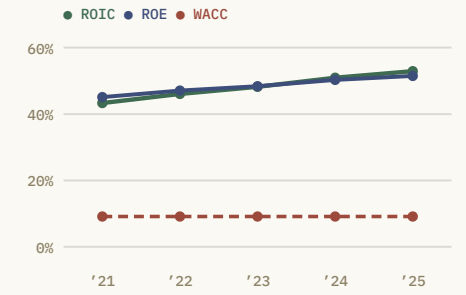
EXHIBIT 29 CASH GENERATION



FCF +19.9bn last year, 1.0x net income; capex intensity 0.9x D&A.

Source: DEMO (synthetic); SuperAnalyst.

EXHIBIT 30 ROIC AND ROE AGAINST WACC



ROIC 53% vs WACC 9.1%: value-creating growth.

Source: SuperAnalyst; NOPAT = EBIT × (1 − tax).

EXHIBIT 31 RETURNS ON CAPITAL BY FISCAL YEAR

	FY2021	FY2022	FY2023	FY2024	FY2025
ROE	45.1%	47.1%	48.4%	50.3%	51.5%
ROA	–	–	–	–	–
ROIC	43.3%	46.1%	48.2%	50.9%	52.9%
Asset turnover	–	–	–	–	–
Equity multiplier	–	–	–	–	–

Source: SuperAnalyst valuation model.

EXHIBIT 32 BALANCE SHEET

$BN	FY2021A	FY2022A	FY2023A	FY2024A	FY2025A
Cash & short-term investments	10.10	10.70	11.30	11.90	12.50
Total debt	12.00	12.00	12.00	12.00	12.00
Net debt / (net cash)	**1.90**	**1.30**	**0.70**	**0.10**	**(0.50)**
Net debt / EBITDA	0.1x	0.1x	0.0x	0.0x	net cash
Total assets	–	–	–	–	–
Shareholders' equity	30.00	32.00	34.00	36.00	38.00
Book value / share	$19.74	$21.05	$22.37	$23.68	$25.00

Reported fiscal years; providers do not forecast the balance sheet.

EXHIBIT 33 CASH FLOW

$BN	FY2021A	FY2022A	FY2023A	FY2024A	FY2025A
Operating cash flow	16.88	18.71	20.35	22.33	24.03
Capex	(3.09)	(3.37)	(3.60)	(3.89)	(4.13)
Free cash flow	**13.79**	**15.34**	**16.74**	**18.43**	**19.90**
FCF margin	21.4%	21.9%	22.3%	22.7%	23.2%
FCF / net income	1.0x	1.0x	1.0x	1.0x	1.0x
Capex / D&A	0.9x	0.9x	0.9x	0.9x	0.9x

Reported fiscal years; forecast free cash flow is shown in the DCF build.

Source: SuperAnalyst valuation model; DEMO (synthetic); analyst consensus. Methodology and disclosures on page 15.

FINANCIAL ANALYSIS · EARNINGS QUALITY

Earnings quality and financial health

Are the reported numbers backed by cash, is the balance sheet safe, and is the earnings base durable?

Accounting-based screens give a Piotroski F-score of **2** out of 2 testable. Taken together the signals are mixed, so we lean harder on cash-flow evidence than on reported earnings.

Piotroski F-score

The score counts nine binary tests of profitability, leverage and efficiency. Meridian Industrials (illustrative) passes two — positive operating cash flow and cash flow exceeds net income (low accruals); seven tests could not be computed from the statement lines available and are excluded rather than counted as failures.

- **Profitability**: 2 of 2 passed
- **Leverage and liquidity**: 0 of 0 passed
- **Efficiency**: 0 of 0 passed

EXHIBIT 34 PIOTROSKI F-SCORE: 2 OF 2

○	Positive return on assets (n/a)
●	Positive operating cash flow
○	Return on assets improving (n/a)
●	Cash flow exceeds net income (low accruals)
○	Leverage falling (n/a)
○	Current ratio improving (n/a)
○	No dilution (share count not up) (n/a)
○	Gross margin improving (n/a)
○	Asset turnover improving (n/a)

Nine binary tests; green = pass, red = fail, grey = not computable.

Distress risk

Altman Z is not computed here: the company is a financial or the balance sheet lacks the lines the model needs.

Accruals and the cash cycle

EXHIBIT 35 EARNINGS DURABILITY

Trailing EPS	$12.87
Consensus EPS FY2026	$13.77
Consensus EPS FY2027	n/a
NTM EPS used	**$13.77**
Through-cycle EPS	$10.09
Forward ÷ through-cycle	1.4x
Durable EPS growth used	8.8%
Durability factor on multiples	**×1.00**

Source: SuperAnalyst valuation model.

Is the earnings base durable?

Yes, on the evidence available. Revenue and margins show no peak-to-trough pattern in the reported history, so forward earnings are capitalised at the full target multiple (durability factor 1.00); growth source: historical revenue CAGR (capped at 15%).

No analyst EPS consensus available; forward EPS is derived from trailing earnings and revenue growth.

Scorecard. Of six factors scored 0–100, earnings quality (100) is the strongest and cycle fit (33) the weakest; the scales are given in the appendix.

KEY TAKEAWAYS

- Piotroski 2/2.
- Accruals not computable.
- No durability haircut applied.

Source: SuperAnalyst valuation model; DEMO (synthetic); analyst consensus. Methodology and disclosures on page 15.

VALUATION · DISCOUNTED CASH FLOW (1/2)

DCF: the assumptions behind the cash flows

Consensus for the near years, then geometric growth decay, mean-reverting margins and reinvestment tied to growth and returns.

The DCF is the cross-check that ignores what other investors pay. It values **10 years** of unlevered free cash flow plus a terminal value, discounted at the **9.10%** WACC. The early years follow consensus; thereafter growth decays geometrically and margins mean-revert, so the model cannot extrapolate a single strong year.

The drivers

Revenue growth (7.0% → 2.5% over 10y) — Year 1 follows consensus revenue for FY2026. Growth then decays geometrically from 7.0% to the 2.5% terminal rate as revenue compounds toward $127bn — competitive entry and the law of large numbers compress incremental growth; no single year's step is ever extrapolated.

EBIT margin (28.5% → 28.7% → 28.3% (compresses)) — Reported margin is 28.5%; year-1 margin is 28.7%. This is a compounder, so we revert only 30% of the way toward the through-cycle average of 27.3%, landing at 28.3% — crediting some but not all of current profitability as durable.

Reinvestment (capex) (4.8% → 5.7% of sales) — Starts at the historical capex intensity (4.8%) against D&A of 5.2%, converging to 1.10x D&A by the terminal year — a steady state that funds growth without permanent over- or under-investment.

Working capital (16.5% of Δrevenue) — Incremental working capital absorbs 16.5% of each year's revenue increase (historical median) — a cash drag as the business scales.

Tax rate (19.0%) — Normalised to the trailing effective rate of 19.0%, applied to EBIT to derive NOPAT.

Terminal growth (2.5%) — At or below long-run nominal GDP (4.0%); a mature going concern cannot outgrow the economy in perpetuity. Terminal reinvestment is g/ROIC.

Cost of capital

The cost of equity is **9.26%**: a 4.3% risk-free rate plus a beta of **1.08** times a 4.6% equity risk premium. The beta is blended: 50% Blume-adjusted regression, 50% industry bottom-up. Debt costs 4.9% before tax (AAA (EBIT/int = 44.5x)), 4.0% after tax, and makes up 2.9% of the capital structure at market values, so the WACC is 9.10%.

Terminal value

Terminal growth is **2.5%**, at or below long-run nominal GDP, with terminal reinvestment of g ÷ ROIC (5% of NOPAT at a 52% terminal ROIC). The terminal value is **54%** of enterprise value.

EXHIBIT 36 COST OF CAPITAL BUILD

Risk-free rate	4.30%
Equity risk premium	4.60%
Beta used	1.08
Cost of equity	**9.26%**
Cost of debt (after tax)	3.97%
Equity / debt weights	97% / 3%
WACC	**9.10%**

Beta: blended: 50% Blume-adjusted regression, 50% industry bottom-up.

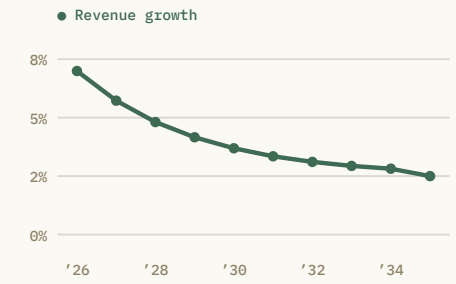
Source: SuperAnalyst valuation model.

EXHIBIT 37 DCF DRIVERS ALONG THE FORECAST

	2026E	2028E	2030E	2035E
Revenue growth	7%	5%	4%	2%
EBIT margin	29%	29%	28%	28%
Capex / revenue	5%	5%	5%	6%
FCFF margin	23%	23%	22%	22%

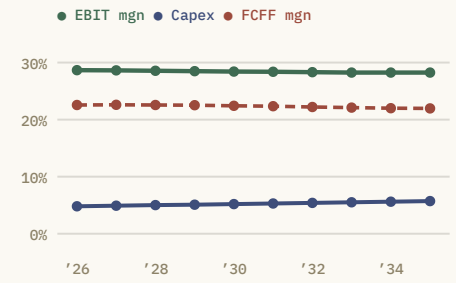
Source: SuperAnalyst valuation model.

EXHIBIT 38 REVENUE GROWTH: CONSENSUS, THEN GEOMETRIC DECAY



Source: SuperAnalyst valuation model.

EXHIBIT 39 REINVESTMENT AND PROFITABILITY PATH



Source: SuperAnalyst valuation model.

EXHIBIT 40 FREE-CASH-FLOW BUILD · $BN

	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Revenue	**91.98**	**97.24**	**101.9**	**106.2**	**110.1**	**113.8**	**117.3**	**120.8**	**124.1**	**127.3**
growth	7.0%	5.7%	4.8%	4.2%	3.7%	3.4%	3.1%	2.9%	2.8%	2.5%
EBIT	26.39	27.84	29.12	30.26	31.31	32.29	33.22	34.12	35.08	35.96
EBIT margin	28.7%	28.6%	28.6%	28.5%	28.4%	28.4%	28.3%	28.3%	28.3%	28.3%
NOPAT	21.37	22.55	23.58	24.51	25.36	26.15	26.91	27.64	28.42	29.13
+ D&A	4.78	5.06	5.30	5.52	5.72	5.92	6.10	6.28	6.46	6.62
− Capex	(4.41)	(4.77)	(5.10)	(5.42)	(5.73)	(6.04)	(6.35)	(6.66)	(6.97)	(7.28)
− Δ working capital	(0.99)	(0.87)	(0.77)	(0.70)	(0.65)	(0.61)	(0.58)	(0.57)	(0.56)	(0.51)
Unlevered FCF	**20.75**	**21.97**	**23.01**	**23.91**	**24.71**	**25.42**	**26.08**	**26.69**	**27.34**	**27.95**
Discount factor	0.957	0.877	0.804	0.737	0.676	0.619	0.568	0.520	0.477	0.437
Present value	19.87	19.28	18.51	17.63	16.69	15.74	14.80	13.88	13.04	12.22

Source: SuperAnalyst valuation model.

Source: SuperAnalyst valuation model; DEMO (synthetic); analyst consensus. Methodology and disclosures on page 15.

VALUATION · DISCOUNTED CASH FLOW (2/2)

DCF: what it values, and what the price requires

$230.27 a share on the cash-flow lens; the terminal value carries 54% of enterprise value.

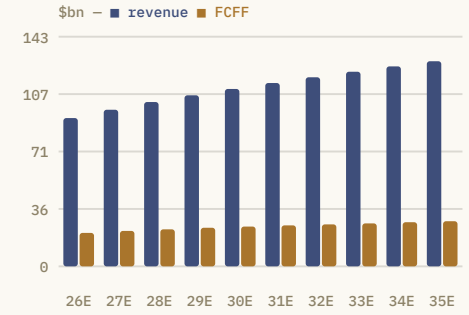
The base case gives an enterprise value of **$349.81bn** and an equity value of **$350.01bn**, or **$230.27** a share (-12% against the price). That is the lowest of our lenses, and the triangulation weights it accordingly.

Where the value sits

Explicit cash flows contribute $161.65bn and the terminal value $188.15bn (54% of EV). The terminal value implies an exit multiple of **10.1x** EBITDA against 13.7x today, a sensible steady-state multiple for a mature business.

Terminal ROIC is 52.5% against a 9.1% WACC, so growth in perpetuity still creates a little value; if returns fell to the cost of capital the terminal value would be worth less than shown.

EXHIBIT 41 REVENUE AND FREE CASH FLOW TO THE FIRM

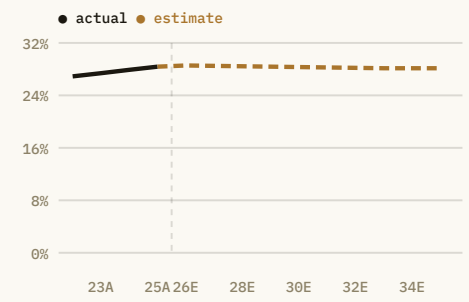


Source: SuperAnalyst valuation model.

Why the DCF can sit below the multiples

Multiples capitalise consensus earnings as they are; the DCF has to earn them. Neither answer is wrong; the gap measures how much of today's profitability the market is treating as permanent.

EXHIBIT 42 EBIT MARGIN PATH



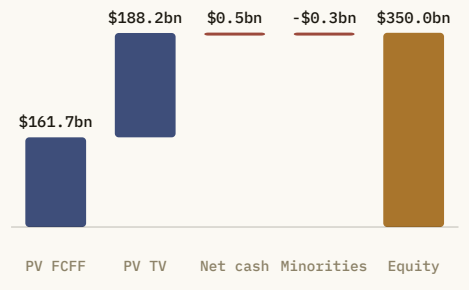
Source: SuperAnalyst valuation model.

Reverse DCF: what the price needs

Holding our cost of capital and long-run assumptions, the current price requires year-one revenue growth of **8%** (terminal growth 3.0%) against our 7%. The market is therefore already pricing in more than we model; the shares need delivery above our base case to earn their cost of equity on this lens.

Implied multiples. At the DCF value of $230.27 the shares would trade on 16.7x NTM EPS, against 19.0x today and 21.0x for the sector. That is a useful sanity check: a DCF that implies a multiple far below any peer is usually telling us about its own conservatism as much as about the stock.

EXHIBIT 43 ENTERPRISE VALUE TO EQUITY VALUE



Source: SuperAnalyst valuation model.

Model diagnostics

- Terminal EV/EBITDA vs today: 10.1x implied vs 13.7x current — ok
- Terminal ROIC vs WACC: 52.5% vs 9.1% — ok

The bear and bull scenarios bracket the base value at $195.79 and $270.37; the sensitivity table on page 5 shows the effect of the discount rate and terminal growth.

EXHIBIT 44 DCF OUTPUTS

WACC 9.10%	TERMINAL GROWTH 2.50%
TERMINAL VALUE / EV 54%	ENTERPRISE VALUE $349.81bn
EQUITY VALUE $350.01bn	IMPLIED EXIT EV/EBITDA 10.1x
TERMINAL ROIC 52%	DCF VALUE / SHARE $230.27

Source: SuperAnalyst valuation model.

EXHIBIT 45 MODEL DIAGNOSTICS

CHECK	READING	STATUS
Terminal EV/EBITDA vs today	10.1x implied vs 13.7x current	ok
Terminal ROIC vs WACC	52.5% vs 9.1%	ok

Source: SuperAnalyst valuation model.

Source: SuperAnalyst valuation model; DEMO (synthetic); analyst consensus. Methodology and disclosures on page 15.

MACRO CONTEXT · RELOJ DE INVERSIÓN

Where the cycle is: Estanflación (Stagflation), weak signal

Growth and inflation read from 28 FRED series, expressed as probabilities of four phases rather than a single label.

The Reloj de inversión — our own cycle model, published as a separate project — classifies the US economy each month into one of four phases from growth and inflation. Its latest reading (2026-10) is **Estanflación** (Stagflation) with **weak** conviction: 37% against 36% for Overheat.

How the Reloj reads the cycle

Twenty-eight FRED series are converted to robust z-scores and combined by principal components into a growth axis and an inflation axis; the month's position on that plane, and its uncertainty, give a probability for each phase. A phase is Recovery (growth above trend, inflation below), Overheat (both above), Stagflation (growth below, inflation above) or Reflation (both below).

The current reading

Growth sits at **-0.01σ** and inflation at **+0.19σ** of their ten-year norms, i.e. close to the centre of the plane, where phase calls are least reliable. Over three months growth has moved -0.04σ and inflation -0.07σ. The model's 12-month recession probability is **8%**.

Why a weak signal changes how we use it

Only 1.1 percentage points separate the first and second phase. When the call is that close, naming one phase and acting on it would be false precision; the more honest estimate is the probability-weighted one. That is what we use in the next section: each phase's historical sector return, weighted by today's phase probabilities.

What each phase has favoured

The Reloj's rotation playbook, built from the same history (inverse volatility), leans on different sleeves in each phase:

- **Recovery**: Consumer staples (22%), Health care (21%) and Materials (20%)
- **Overheat**: Consumer staples (42%), Financials (34%) and Energy (24%)
- **Stagflation**: Utilities (32%), Industrials (26%) and Semiconductors (22%)
- **Reflation**: Gold miners (20%), Consumer staples (18%) and Health care (18%)

How long in this phase. The Reloj has called Estanflación for three consecutive months, and for 68% of the last 8 years. A phase that has just changed carries more uncertainty than one that has persisted.

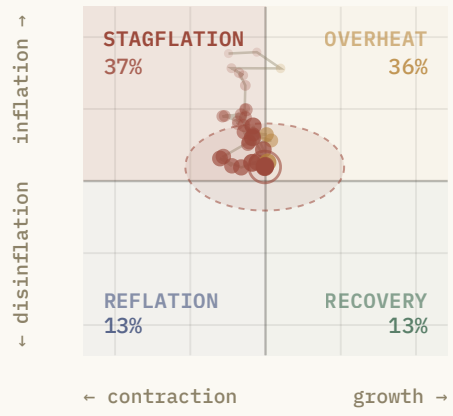
The macro read is context for the valuation. It does not move our price target, but it does tell us whether the sector a company belongs to has historically had the wind at its back or in its face.

Direction of travel. A year ago the Reloj plotted at growth -0.56σ and inflation +0.34σ; it now plots at -0.01σ and +0.19σ, a drift toward stronger growth and little change in inflation.

KEY TAKEAWAYS

- Estanflación (Stagflation), weak signal: 37% vs 36% for Overheat.
- Growth -0.01σ, inflation +0.19σ; 12-month recession probability 8%.
- We weight phases by probability; the label alone is not a forecast.

EXHIBIT 46 GROWTH × INFLATION PLANE, LAST 36 MONTHS



Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst.

EXHIBIT 47 PHASE PROBABILITIES

Recovery	13%
Overheat	36%
Stagflation	**37%**
Reflation	13%

Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst.

EXHIBIT 48 THE READING IN NUMBERS

GROWTH Z -0.01σ	INFLATION Z +0.19σ
RECESSION 12M 8%	GROWTH Δ3M -0.04σ
INFLATION Δ3M -0.07σ	DATA snapshot

Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst. Data: snapshot, 2026-10.

EXHIBIT 49 WHAT THE RELOJ'S PLAYBOOK LEANS ON, BY PHASE

Recovery	Consumer staples, Health care, Materials
Overheat	Consumer staples, Financials, Energy
Stagflation	Utilities, Industrials, Semiconductors
Reflation	Gold miners, Consumer staples, Health care

Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst.

Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst. 28 FRED series; robust z-scores and PCA.

MACRO CONTEXT · SECTOR EVIDENCE

What the Industrials sleeve has paid in each phase, and where that leaves us

Excess returns against the US market by phase, shrunk toward zero, with the statistics that say how much to trust them.

We map **Meridian Industrials (illustrative)** to the Reloj's **Industrials** sleeve, which it tracks through IYJ and XLI; the Reloj's evidence for Industrials runs back to 1970 and covers 226 months in its longest phase.

What the sector has paid in each phase

- **Recovery**: 10.4% a year on average, +1.6 pp a year versus the US market (t = +0.6, hit rate 58%, no-signal evidence)
- **Overheat**: 4.3% a year on average, -2.5 pp a year versus the US market (t = -0.9, hit rate 51%, no-signal evidence)
- **Stagflation** (current): 1.2% a year on average, -4.1 pp a year versus the US market (t = -1.3, hit rate 50%, weak evidence)
- **Reflation**: 18.9% a year on average, +6.3 pp a year versus the US market (t = +2.1, hit rate 65%, moderate evidence)

Read these with the statistics in mind. A t-statistic below about 2 means the sector's return in that phase cannot be told from chance; across all sector × phase cells the Reloj tests, only 25 of 192 survive false-discovery control. That is why the Reloj shrinks every estimate toward zero, and why we quote the shrunk figure.

The probability-weighted tilt

Weighting each phase's shrunk excess return by today's phase probabilities gives a tilt of **-1.4 pp** a year for Industrials against the US market. That is small relative to the noise in the estimates: a nudge, not a thesis.

Scenario: the cycle tips. If the Reloj's runner-up, Overheat, took over, the sector's historical edge would move from -4.1 pp to -2.5 pp a year. Across the four phases Industrials has done best in Reflation (+6.3 pp) and worst in Stagflation (-4.1 pp).

Playbook and ETF exposure

In the current phase the Reloj's playbook allocates **26.0%** to Industrials.

Putting the cycle and the valuation together

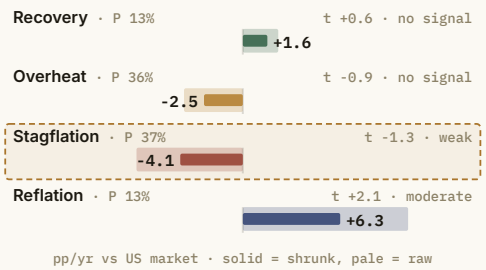
Valuation points up (+13% expected return) while the cycle's historical tilt is a modest headwind (-1.4 pp a year). We read that as a reason to size positions with care and to watch the phase reading, not as a reason to override the valuation.

KEY TAKEAWAYS

- Industrials tilt -1.4 pp a year, probability-weighted; current-phase edge -4.1 pp.
- Playbook weight 26.0% in Stagflation.
- Context for the valuation, not an input to the target.

Source: Reloj de inversión, github.com/Perez849/reloj-inversion. The tilt describes historical behaviour; it is not an input to the target and not investment advice.

EXHIBIT 50 INDUSTRIALS: EXCESS RETURN BY PHASE



Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst.

EXHIBIT 51 HISTORICAL EVIDENCE FOR INDUSTRIALS

PHASE	ANN.	VS MKT	T	HIT	N
Recovery	10.4%	+1.6	+0.6	58%	187
Overheat	4.3%	-2.5	-0.9	51%	120
Stagflation ●	1.2%	-4.1	-1.3	50%	226
Reflation	18.9%	+6.3	+2.1	65%	148

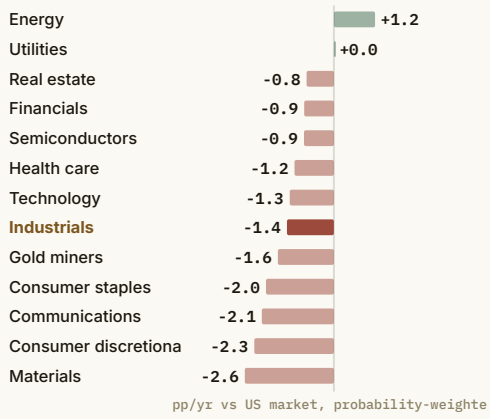
Ann. = sector annual return in the phase; vs mkt = shrunk excess return (pp); t = Newey-West; n = months.

EXHIBIT 52 THE RELOJ'S PLAYBOOK NOW: STAGFLATION

ALLOCATION	WEIGHT
Industrials ◂	**26.0%**
Semiconductors	22.2%
Utilities	31.8%
Gold miners	6.0%
Gold bullion	14.0%

Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst. Scheme: Inverse volatility.

EXHIBIT 53 PROBABILITY-WEIGHTED TILT, ALL SECTORS



Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst. Highlighted = this company's sector.

EXHIBIT 54 ETF EXPOSURE

ETFS
IYJ · XLI

Source: Reloj de inversión (Perez849/reloj-inversion); SuperAnalyst.

FACTORS, CATALYSTS AND RISKS

What moves the stock, and what could go wrong

Exposure scored from the model's sensitivities and the company's history; levers quantified in value per share.

We scored eight macro and company-specific factors from the model and the reported history. **High exposure**: interest rates / discount rate. **Medium**: inflation / input costs and execution vs expectations. **Low**: economic cycle / demand, credit & refinancing, competitive erosion, capital intensity and pricing power / margin stability.

What moves the stock most

Interest rates / discount rate (high). Long-duration cash flows: the further out the value sits (terminal-heavy), the more a shift in rates or the equity risk premium re-prices the stock, independent of operations. Evidence: 75bps of WACC ≈ $25.80/sh (11%); TV = 54% of EV.

Inflation / input costs (medium). Cost pass-through is the test: firms with pricing power hold margin through inflation; historical margin volatility shows how much of past cost shocks reached the P&L. Evidence: −100bps EBIT margin ≈ −$8.45/sh; margin σ = 0.9%.

Execution vs expectations (medium). Market expects MORE than our base — priced for execution. The equity reprices on the gap between delivery and what the tape already discounts, not on absolute results. Evidence: Implied y1 growth 8.2% vs base 7.0%.

What each lever is worth

- **Cost of capital:** every 75bps of WACC moves fair value by ≈$25.80/share (11%). Rate path and the equity risk premium are the single biggest swing factor.
- **Terminal growth:** 50bps of perpetuity growth is worth ≈$8.79/share — the market's read on the company's long-run competitive position.
- **Operating margin:** each 100bps of EBIT margin across the forecast is worth ≈$8.45/share — watch pricing power, mix and cost discipline in quarterly prints.
- **Top-line delivery:** our base assumes 7.0% year-one growth fading to 2.5%; sustained beats/misses versus that glide path are the cleanest re-rating trigger either way.

Key risks

- Estimate risk: consensus forecasts can be revised sharply, and the forward-multiple lenses move one-for-one with the earnings they are applied to.
- Multiple risk: target multiples are anchored on sector medians; a de-rating of the peer group lowers the target regardless of company performance.
- Single third-party data source: restatements, non-recurring items or classification differences can shift the output.

How big are the risks?

Translating the risks into the DCF: WACC +100bps would move the value by -13%; EBIT margin −300bps would move the value by -11%; capex +5pts of revenue would move the value by -10%. These are single-factor shocks; in practice they arrive together (a de-rating and an estimate cut usually do), so the combined effect is larger than any one of them.

What we would monitor

- Delivery against the FY2026 revenue and EPS path in quarterly results, the cleanest re-rating trigger either way.
- The EBIT margin, and whether pricing, mix and cost discipline hold it near the level the DCF assumes.
- The Reloj's phase and probabilities, monthly: a move of the leading phase changes the sector's historical tilt.
- Changes to the cost of equity: rates and the equity risk premium are the single largest swing factor in the DCF.

EXHIBIT 55 FACTOR EXPOSURE

FACTOR	EXPOSURE
Interest rates / discount rate	HIGH
Economic cycle / demand	LOW
Inflation / input costs	MEDIUM
Credit & refinancing	LOW
Competitive erosion	LOW
Execution vs expectations	MEDIUM
Capital intensity	LOW
Pricing power / margin stability	LOW

Source: SuperAnalyst valuation model.

EXHIBIT 56 STRESS TESTS ON THE DCF

SHOCK TO THE DCF	PER SHARE	VS BASE
WACC +100bps	$200.77	-13%
WACC −100bps	$270.28	+17%
Terminal growth −50bps	$222.14	-4%
Terminal growth +50bps	$239.71	+4%
EBIT margin −300bps	$204.92	-11%
EBIT margin +300bps	$255.62	+11%
Revenue growth −20% (relative)	$216.89	-6%
Revenue growth +20% (relative)	$244.48	+6%
Capex +5pts of revenue	$206.50	-10%

Source: SuperAnalyst valuation model.

EXHIBIT 57 WHAT EACH LEVER IS WORTH (DCF)

LEVER	PER SHARE	% OF DCF
WACC ±75bps	$25.80	11%
Terminal growth ±50bps	$8.79	4%
EBIT margin +100bps	$8.45	4%

Source: SuperAnalyst valuation model.

Source: SuperAnalyst valuation model; DEMO (synthetic); analyst consensus. Methodology and disclosures on page 15.

APPENDIX A

Financial statements

Reported fiscal years with the DCF base case and consensus as shaded forecast columns. Currency USD; bn unless noted.

EXHIBIT 58 INCOME STATEMENT

$BN	FY2021A	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E
Revenue	**64.38**	**70.17**	**75.09**	**81.09**	**85.96**	**91.98**	**97.24**	**101.9**
growth	11.0%	9.0%	7.0%	8.0%	6.0%	7.0%	5.7%	4.8%
Gross profit	–	–	–	–	–	–	–	–
gross margin	–	–	–	–	–	–	–	–
EBITDA	20.41	22.60	24.55	26.92	28.97	31.17	32.90	34.42
EBITDA margin	31.7%	32.2%	32.7%	33.2%	33.7%	33.9%	33.8%	33.8%
EBIT	**17.06**	**18.95**	**20.65**	**22.71**	**24.50**	**26.39**	**27.84**	**29.12**
EBIT margin	26.5%	27.0%	27.5%	28.0%	28.5%	28.7%	28.6%	28.6%
Net income	13.54	15.06	16.44	18.11	19.56	20.93	22.10	23.14
net margin	21.0%	21.5%	21.9%	22.3%	22.8%	22.8%	22.7%	22.7%
Diluted EPS	**$8.46**	**$9.53**	**$10.54**	**$11.76**	**$12.87**	**$13.77**	**$14.54**	**$15.22**

EXHIBIT 59 BALANCE SHEET

$BN	FY2021A	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E
Cash & short-term investments	10.10	10.70	11.30	11.90	12.50	–	–	–
Total debt	12.00	12.00	12.00	12.00	12.00	–	–	–
Net debt / (net cash)	**1.90**	**1.30**	**0.70**	**0.10**	(0.50)	**–**	**–**	**–**
Net debt / EBITDA	0.1x	0.1x	0.0x	0.0x	net cash	–	–	–
Total assets	–	–	–	–	–	–	–	–
Shareholders' equity	30.00	32.00	34.00	36.00	38.00	–	–	–
Book value / share	$19.74	$21.05	$22.37	$23.68	$25.00	–	–	–

EXHIBIT 60 CASH FLOW

$BN	FY2021A	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E
Operating cash flow	16.88	18.71	20.35	22.33	24.03	–	–	–
Capex	(3.09)	(3.37)	(3.60)	(3.89)	(4.13)	(4.41)	(4.77)	(5.10)
Free cash flow	**13.79**	**15.34**	**16.74**	**18.43**	**19.90**	**20.75**	**21.97**	**23.01**
FCF margin	21.4%	21.9%	22.3%	22.7%	23.2%	22.6%	22.6%	22.6%
FCF / net income	1.0x	1.0x	1.0x	1.0x	1.0x	–	–	–
Capex / D&A	0.9x	0.9x	0.9x	0.9x	0.9x	0.9x	0.9x	1.0x

Forecast columns: revenue, EBIT and capex are the DCF base case; net income and EPS use consensus where it covers the year; free cash flow in forecast years is unlevered (FCFF). Dashes mean the provider does not report the line.

EXHIBIT 61 RETURNS ON CAPITAL BY FISCAL YEAR

	FY2021	FY2022	FY2023	FY2024	FY2025
ROE	45.1%	47.1%	48.4%	50.3%	51.5%
ROA	–	–	–	–	–
ROIC	43.3%	46.1%	48.2%	50.9%	52.9%
Asset turnover	–	–	–	–	–
Equity multiplier	–	–	–	–	–

Source: SuperAnalyst valuation model.

APPENDIX B

Methodology, definitions and disclosures

Method in one paragraph

The price target triangulates relative lenses (target multiples on consensus forward numbers, anchored on peers or a sector reference table and adjusted for durable growth, leverage and earnings durability), a 10-year DCF (consensus for the near years, geometric growth decay, mean-reverting margins) and sector models (residual income, justified P/B, FFO/AFFO, dividends, mid-cycle EBITDA), weighted by company profile. Fair value is rolled forward at the cost of equity and reduced by dividends to give a 12-month target.

Guardrails

A lens outside 0.2×–5× the share price is excluded; a lens more than 2.2× away from the median of the others is down-weighted by 60%; the published target is limited to 0.4×–2.5× the price; fewer than two usable lenses, or a result forced by a guardrail, is published NOT RATED. The Street consensus is anchored at up to 30% (scaled by analyst count; 15% when the count is unknown) and is always shown separately.

Rating bands

On the 12-month expected total return: OVERWEIGHT above +15%, ADD +5% to +15%, NEUTRAL −5% to +5%, REDUCE −15% to −5%, UNDERWEIGHT below −15%.

Scorecard scales

Valuation: expected return −30% to +50% mapped to 0–100. Growth: durable EPS growth 0–25% and FY+1 revenue −5% to +30%. Profitability: ROIC − WACC from −5 to +25 points and EBIT margin 0–35%. Earnings quality: Piotroski share of tests passed, OCF/net income 0.5–1.2 and accruals. Balance sheet: net debt/EBITDA, interest cover and Altman zone. Cycle fit: Reloj tilt −4 to +4 pp a year.

Quality screens

Piotroski F: nine binary tests of profitability, leverage/liquidity and efficiency; tests that cannot be computed from the available statement lines are excluded, not failed. Altman Z (original industrial form): above 2.99 safe, 1.81–2.99 grey, below 1.81 distress. Sloan accruals: (net income − operating cash flow) ÷ average assets.

Reloj de inversión

Phase probabilities and sector evidence come from the Reloj de inversión project's published data (github.com/Perez849/reloj-inversion). Tilt = Σ phase probability × shrunk excess return of the sector in that phase. It describes historical behaviour and is not an input to the price target.

Data and limits

Fundamentals and consensus come from DEMO (synthetic); the company was classified as **Standard (forward multiples + DCF)**. Forward numbers are analyst consensus where available and reported figures otherwise. A single third-party source can contain restatements, one-off items or classification differences that move the output; the model flags what it can detect and refuses to publish a number it cannot defend.

Definitions

EV: enterprise value = market capitalisation + net debt + minorities. NTM: next twelve months, a time-weighted blend of the two nearest forecast fiscal years. FCFF: free cash flow to the firm = NOPAT + D&A − capex − change in working capital. WACC: weighted average cost of capital. ROIC: NOPAT ÷ invested capital (debt + equity − cash). PEG: P/E ÷ durable earnings growth. Tilt: probability-weighted excess return of a sector against the US market, in percentage points a year.

Disclaimer

This research note is generated by an automated, sector-aware valuation engine from public data. It is an analytical tool, not investment advice, a recommendation or an offer to transact, and it is no substitute for fundamental judgement. Past performance and historical sector behaviour are not guides to future returns. Do your own due diligence.

Source: SuperAnalyst valuation model; DEMO (synthetic); analyst consensus. Methodology and disclosures on page 15.